Mobitel (Pvt) Ltd.

Document Number: HR 0011

POLICY AND PROCEDURE ON EMPLOYEE LEAVE

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Implementation: 05/12/2016

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Document Control Sheet

Document Versions

Version	Date	Remarks
HR 0011.0	01st July 2001	Use of Leave Entitlement
HR 0011.1	01st October 2001	Addendum to use of Leave Entitlement
HR 0011.2	01st January 2010	Revised policy document
HR 0011.3	05th December 2016	Revised policy document

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1. Purpose

This document outlines the policy for the leave entitlements for employees use.

2. Scope

This policy is in compliance with the statutory entitlement prescribed under the Shop and Office Employees' Act, and will apply to all permanent and fixed term employees of Mobitel across the board.

3. Employee Leave Entitlement

3.1 Annual Leave

In respect of each calendar year during which an employee has been continuously in employment, he/she will be entitled to take 14 days of annual leave in the succeeding year or a proportion depending on the date of commencement of employment.

As such, during the employee's first year of employment (which is defined as the period from January to December in the year of joining and irrespective of the date of joining) during which an employee has been continuously in employment, he / she is entitled to the following pro-rated leave to be utilized during the following year (second year of employment):

Commencement of Employment

Between 01st January and 31st March	-	14 days
Between 01st April and 30th June	-	10 days
Between 01st July and 30th September	-	07 days
Between 01st October and 31st December	-	04 days.

Annual leave must be applied for in advance and has to be approved by the Company, for which Leave will be granted on mutually convenient days.

All Annual Leave requests must be submitted to, and approved by, the Supervisor / Line Manager / HOD at least one week in advance.

Therefore, a staff member who has stayed away from work without authorization will not be permitted to cover his / her absence by an application for annual leave. If a staff member's inability to report for work was due to unforeseen circumstances such as personal emergency or sickness or when he/she has no other leave to credit; in such situations, approval for annual leave shall be at the sole discretion of the Management.

Unutilized annual leave balance could be carried forward to the following year; the total roll-on should not exceed 28 days in the ensuing year (ex: maximum of 14 days of unutilized Annual leave or part thereof plus 14 days' entitlement of the current year)

3.11 Leave Rosters

For the purpose of administering Annual Leave, rosters will be worked out every year in the month of **December** for the following year. All employees of a Division must indicate in the roster the dates on which they wish to go on leave in the coming year provided such leave could be availed of at times mutually convenient.

The rosters prepared for the following year should be submitted to the HR Division not later than 31st December each year.

Supervisors / Line Managers / HODs may permit deviations from the roster, for acceptable reasons.

3.2 Casual Leave

You will be entitled to 7 days of Casual leave in respect of each calendar year.

However, during your first year of employment you will be entitled to half a day's leave for each completed month of service.

All casual leave must be applied for in advance unless the reason for the absence is one which could not have been foreseen.

Your right to avail yourself to casual leave shall be without prejudice to the Company's right to take into account the exigencies of service in approving an application for casual leave.

Unutilized Casual leave will not be allowed to be carried forward.

3.3 Medical Leave

You will be entitled to Medical Leave, on grounds of illness or ill health, to a maximum of Fourteen (14) days per year.

An employee will qualify for the 14 days of Medical Leave only on the completion of his / her second (consecutive) year of service.

An employee also should communicate to one's Supervisor / Line Manager / HOD one's inability to report for work on the very first day of one's absence.

A medical certificate from a Registered Medical Practitioner should be submitted for two days and above, within 2 days upon resuming work, to the Supervisor / Line Manager / HOD for approval, at the time of applying *for* leave online through the HR system and should be forwarded to HR Division attached with the approved email notification of the requested Leave for records.

Failure to submit a valid medical certificate within 2 working days of resuming work will result in appropriate action being taken against the employee concerned. Misuse of Medical leave will be treated as misconduct and appropriate action will be taken against the employee.

You may also utilize such leave in total on grounds of illness provided that the illness, in respect of which leave is required, shall be supported by a valid Medical certificate issued by a Registered Medical Practitioner.

In the event of regular absenteeism on account of ill-health, the Management reserves the right to subject such employee to a registered Medical Practitioner nominated by the Company to ensure that he / she is fit to work. In case he / she is not fit to work due to such illness the Company reserves the right to take appropriate action according to law.
Medical leave will not be allowed to be carried forward and will be availed only on condition that the staff member is sick and is unable to report for work.

3.31 Infectious Disease

Employees infected with an infectious disease should immediately inform their Supervisor / Line Manager, such absence should be covered by a medical certificate from a Registered Medical Practitioner. Leave for such cases will be granted at the discretion of the Management. The Management reserves its right to submit such employee to a medical practitioner of its choice to ascertain his / her fitness prior to resumption of duties. The medical certificate, if not submitted earlier, should be submitted as per the usual procedure of the Company on the resumption of duties by the said employee.

3.32 Prolonged Illness

For prolong illnesses and hospitalization, Medical Leave will be provided on recommendation of Registered Medical Practitioner, at the discretion of the Management and on a case by case basis. A need beyond the stipulated entitlement should be referred to HR Division in writing and the decision of the Management will be final.

4. Leave on Termination / Retirement / Cessation of Employment

On cessation of employment (Where the employer terminates the employment of the worker or the worker lawfully terminates his employment with the employer), the employee is entitled to the Annual Leave earned by him / her in respect of the previous year plus the days earned during the year of termination, less any Annual Leave availed of by him / her during the year of termination, computed on the following basis:

If less than 10 months'	– 1 day for each month completed
If it is 10 months' or more	– full 14 days.

Hence the annual leave to the employee's credit will not exceed 28 days.

Ex:

Maximum Annual leave which can be earned in respect of the previous year is 14 (maximum)

Maximum Annual leave that can be earned during the year of termination is 14 (maximum)

Total Maximum Annual leave to credit will be 28 days.

The employee is entitled to avail this leave during the notice period with the approval of the Supervisor / Line Manager in case of a resignation. Any unutilized Annual Leave, will be encashed upon a request made by the employee to the HR Division.

Employees who wish to avail of leave prior Retirement/ Resignation from the services of the Company should apply leave through the HR System with the approval of the respective Supervisor / Line Manager.

There is no provision for encashment of any other form / type of leave provided for herein at the cessation of employment except for Annual leave as set out above.

In the event an employee tenders his / her resignation without notice in breach of the contract, thereby puts it beyond the power of the company to fulfill the obligation of setting off the annual leave for the period of notice, the company will set off unutilized annual leave against the notice period that the employee requires to offer.

5. Maternity Leave

5.1 Maternity Leave for the birth of the First and Second child

In respect of the birth of the first and the second child a female employee is entitled to 84 working days with full pay as maternity leave. For a female employee to be entitled to maternity leave as above, the confinement must result in the birth of a 'live' child.

5.2 Maternity Leave for the Birth of the Third or Subsequent Confinement.

a. An employee, if at the time of confinement already has two or more children; the employee is entitled to 42 working days with full pay.

b. If an employee has lost a child and at the time of the third confinement, she has only one child, she could qualify for 84 working days of Maternity leave with full pay for the third confinement. What is material is the number of surviving children at the time of the confinement and not the number of previous confinements.

5.3 Computation of Maternity Leave

In computing the above entitlements of maternity leave, holidays granted under the Shop and Office Employees Act, weekly holidays, statutory and Poya holidays are excluded**.**

5.4 Notice of Confinement

An employee must give immediate notice to the company regarding the following:

i. Date of Confinement and the number of children she has at confinement.

ii. Whether the child was born alive or not.

iii. The number of living children for purpose of determining quantum of maternity leave.

5.5 Birth of Twins

An employee giving birth to twins on her first confinement will be entitled to 84 working days as maternity leave. The employee is entitled to 42 working days as maternity, on her second confinement on the basis of already having two living children.

5.6 Pre-confinement and Post-confinement

An employee could avail 14 days of maternity leave before confinement and the balance days after confinement. However, if the employee decides to take the 14 days' pre-confinement leave and the child is born before the expiry of the 14 days, the unutilized portion of the pre-confinement leave will be added to the post-confinement leave.

5.7 Maternity Leave in the event of a Stillbirth or the Issue of a Viable Fetus

The term 'viable foetus' is defined as; a foetus of at least 28 weeks old. On both situations an employee is entitled to 42 working days with full pay.

5.8 Roster Employees

Employees who are on special rosters will be subjected to the General roster (Monday to Friday 8:00 A.M. to 5:00 P.M.) when being entitled for Maternity leave.

5.9 Nursing Interval

An employee who resumes work after Maternity leave and is nursing a child under one year of age will be provided with a nursing interval with pay within the normal working day.

Such nursing interval:

- Shall be granted 02 hours per day until the child is one year of age.
- Should be availed by the employee in consultation with the Supervisor / Line Manager / HOD to decide whether it is a late arrival or an early departure
- Should be availed without disrupting the smooth operation of that particular division and or the workflow of the company
- Should be granted taking into consideration the convenience of the employee / without much hassle.

6. Online Leave Application

Employees who wish to apply for Leave, should submit an on-line application through the HR System to his/her immediate Supervisor / Line Manager requesting prior approval giving the following details;

- 'Date/s' that they wish avail leave
- 'Session' in case of a half day (Morning/Afternoon)
- Reason for applying leave (not compulsory other than for Duty leave where employee should specify the relevant duty)
- Type of leave

Employees should log into the HR system and apply for leave as per their requirement if the employee has earned same.

All Supervisors / Line Managers are held responsible for regularizing employee leave applications by Approving or Rejecting the Leave application/s within 05 working days.

Employees who do not have system access should request their Supervisor / Line Manager to apply leave online on behalf of the employee and obtain approval for same.

In case of a Sickness or in an unavoidable circumstance, employee should inform his/her Line Manager/HOD regarding the same over by calling or through SMS / email and should obtain approval. If informing via SMS / email, then such message has to be acknowledged by a response message from the Supervisor / Line Manager accepting it in order for it to be

considered as approved leave. Failure to obtain such approval will lead to such leave being considered unauthorised absence. Any such approval obtained should be supported with an on-line application within two working days of reporting to work. The Medical certificate in case of sickness should be submitted to the HR Division along with the approved leave form.

Please note that any absences without proper approvals would amount to misconduct and will be considered as Unauthorized Absence without Pay.

6.1 Rejected / Cancellation of Leave Application

Employees whose leave applications which have been rejected by the Supervisor / Line Manager or cancelled by the Employee him / her self should be present for work on that particular day.

Employees who fail to present for work will be considered as unauthorized absence from work and will be captured on the monthly No-Pay report.

7. Other types of leave

7.1 Duty Leave

Employees are required to apply duty leave when keeping away from office for official purposes such as attending training programmes, promotional activities, site visits, branch audits, traveling overseas for conferences/seminars/ trainings, representing the company in events such as sports, competitions, etc. Failure to do so will result in the absence of such employee being considered as Unauthorized Absence and will be captured on the No Pay Report.

7.2 Leave for Voting at Elections

- *Presidential, Parliamentary, Provincial*

An employee who is qualified to vote at a Presidential or Parliamentary Election is entitled to a minimum paid leave for four (4) hours to enable him/her to exercise his/ her vote.

A registered voter on application has to be granted not less than 4 hours leave on the polling day to enable him to cast his vote.

- *Local Authority Elections*

An employee who is qualified to vote at a Local Authority Election is entitled to a minimum paid leave for (2) hours (not less than 2 hours) to enable him /her to exercise his /her vote.

Laws, regulations and directives from the Commissioner General of Election inforce from time to time shall be applicable.

7.3 Leave to attend courts

Where an employee is required to be present in a Court of Law in his personal capacity, his absence should be set off against his leave entitlement or he may be allowed no pay leave if he has no leave to his credit or where he refuses to have it set off against his entitlement. The staff member should not be prevented from attending courts by insisting on his presence at work.

Duty Leave will be granted when an employee attends a Court of Law in his official capacity on behalf of the company.

7.4 Lieu Leave

An employee who is requested to work during his / her weekly holiday is entitled to avail a day's holiday during the succeeding week or within a period of three months from such utilization. This leave should be applied in advance as Lieu Leave and approval should be taken.

7.5 No Pay Leave

This is when leave without pay is expressly granted by the Company to an employee who has no paid leave to his credit.

However, prior approval is required for No Pay leave, leave without pay. If an employee requires such leave, then he / she should get prior approval of the Supervisor / Line Manager in advance before they apply for it through the HR system. Granting of such leave will be at the sole discretion of the Management.

7.6 Special Leave

Leave for emergency situations such as Natural disasters and Curfew etc. will be granted at the discretion of the Management.

7.7 No Pay Absence

Any employee who takes leave without prior permission would be put on no-pay absence in the first instance and immediate steps will be taken to make deductions from his/her salary for such no-pay absence.

7.8 Unauthorized Absence

Absence will be regarded as being unauthorized if an employee does not report to work without obtaining approval from his/her assigned Supervisor / Line Manager either through approved leave or other means such as a call followed by a SMS or email which can be proved. If the approval has been taken through other means than approved online leave application, employee shall obtain leave approval on the first day he/she reports back to work. Unauthorized absence can take place when:

- An employee stays away from work breaching leave procedures set out in respect to obtaining leave. (This could happen even when the employee has a balance leave entitlements).
- If an employee has already exhausted his/her full leave entitlement for the year and stays away from work without prior approval for such absence from the Management.
- Habitual requests for leave with inadequate notice which disrupts the smooth operation of business, may not be approved and must be treated as unauthorized absence.

Unauthorized absence is viewed as a Misconduct which warrants disciplinary action.

7.81 Termination of Service Due to Unauthorized Absence

In the event of an employee not reporting to work continuously for more than three working (03) days without any notice/intimation, the Supervisor/ Line Manager / HOD should inform the same to HR Division in order to send a letter requesting him/her to report to work immediately and to also explain the reason for his/her absence or overstay of leave.

If no response is received, then the Company will consider that the employee concerned has no cause to show and action will be taken on that basis.

Vacation of Post (VOP) will be sent in the event of employee not reporting to work within the specified period.

8. Use of Employee Leave

- With regard to Annual and Casual leave, an employee can use the total entitlement in a minimum of ½ day and without any restriction in the number of days and in whatever proportion up to the entire entitlement of leave subject to the prior approval of the Supervisor / Line Manager.

- All leave should be taken only with the prior approval and authority of the Management. In case of exigencies, employees may apply for approval of leave with a valid reason for any absence of work but granting of approval in such instances shall be at the sole discretion of the Management.

- An employee who plans to visit overseas, should inform about such visit to his / her immediate Supervisor / Line Manager and HOD.

- Employees should note, in particular, that the granting of leave will depend on the exigencies of business and that even where applications for leave are made in advance and where the employee has not exhausted his/her quota of leave, his /her application may have to be refused.

- Any absence without such leave shall deem to be unauthorized absence from work and will be liable for disciplinary action being taken against you.

- If an employee calls out of work the day before, the day of, or the day after a holiday, the Supervisor / Line Manager will review the circumstances of the absence. Based on this review, the Supervisor / Line Manager has the discretion to determine whether to count the incident as a regular occurrence or go directly to issuing a Verbal Warning for the holiday-related call out. If an employee is already on the progressive disciplinary process and unable to submit any reasonable justification for the absence the Management can progress to the next level.

- Therefore, if an employee stays away from work without authorization and if such inability to report for work was due to unforeseen circumstances such as a personal emergency or sickness and or when he/she has no other leave to credit, then in such situations, approval for leave shall be at the sole discretion of the Management.

- Disciplinary action will be taken against all employees who abstain themselves from work without obtaining prior approval or those who are unable to tender satisfactory explanation in relation to their absence in accordance with the leave policy mentioned above.

- Accumulated leave, if any, if not availed of before the end of the year shall be deemed to lapse and you will not be entitled to any payment in respect of unutilized leave except in the case of annual leave on termination of employment.

9. Holidays

9.1 Weekly Holidays

Saturdays and Sundays are weekly Holidays for all the Employees in the Company and except for staff on special rosters.

9.2 Statutory Holidays

Employees shall be entitled to a paid holiday with full remuneration on the following statutory holidays:

1. Tamil Thai Pongal Day
2. National Day
3. Day prior to the Sinhala and Tamil New Year Day
4. Sinhala and Tamil New Year Day
5. May Day
6. Day following the Wesak Full Moon Poya Day
7. Milad-Un-Nabi (Holy Prophet's Birthday)
8. Christmas Day

Where a statutory holiday falls on what is usually the weekly holiday, an alternative holiday will be granted to employees covered by the Shop and Office Employees Act.

If employees are required to work on a statutory holiday they should be employed only for the duration of the normal working hours and should be given a day off with pay in lieu on or before 31st December of that year. This day off should be applied on the HR system under Lieu leave type.

9.3 Full Moon Poya Days

All employees except for those who work on special rosters are entitled to a paid holiday on a Full Moon Poya Day of each month.

No holiday in lieu will be given if the Poya Day coincides with other holidays.

9.4 Special Religious Holiday

Employees may upon application be granted a holiday only if it is applicable to them as following:

Maha Sivarathri Day (Hindu)
Good Friday (Christian)
Ramazan Festival Day (Muslim)
Hadji Festival (Muslim)

The above could be applied under the Religious Holiday category.

Any employee who stays away from work contravening leave procedures set out in respect of obtaining authorized leave or by means of violating of the stipulated clauses in the leave policy will be dealt with appropriate disciplinary action by the Management of Mobitel.